MEMORANDUM

TO:	Executive Leadership & CEO, ENIAC
FROM:	Team Electricity (Market Expansion & Data Strategy)
DATE:	October 2026
SUBJECT:	Market Entry Feasibility Assessment: Magist Brazil Marketplace
STATUS:	Final Strategic Recommendation & Analytical Appendix

Commercial & Operational Profile of Magist

Executive Briefing & Platform Sizing - Magist's KPIs

- **Marketplace Scale:** Magist generated **€13.59 million** in gross marketplace turnover across 25 active months, with **6,000 to 7,000 active monthly customers**.
- **Technology Penetration:** The 10 categories matching ENIAC's consumer electronics (listed below) footprint generated **€1.90 million**—representing only **14% of gross platform revenue**.
- **The Basket Value Disconnect:** Magist's average order price for tech items is **~€124**, compared to ENIAC's average European order value of **€710**. The marketplace audience is anchored in everyday consumer commodity purchasing rather than capital-intensive flagship hardware.

Categories filter for data analysis (closest to ENIAC's catalog)
computers_accessories, computers, pc_gamer, tablets_printing_image, telephony, fixed_telephony, electronics, audio, cine_photo, consoles_games

Catalog Depth & Price-Tier Realities

- **Volume Skew:** Over two years, **~17,000 tech products** with an average product price of 110€ were sold (~17% of all marketplace items).
- **The High-End Deficit:** Products priced over €500 accounted for only 565 total units sold across the entire 25-month window (**~23 units per month nationwide**).
- **Unit Concentration:** Over **82% of all tech sales** fall into passive Budget Essentials (≤ €50) and Standard Accessories (€51–€150).
- **Seller Commercial Footprint:** Only 493 of 3,095 active platform sellers (15.9%) list tech items. The average tech seller generates just **~€150/month in revenue**, indicating a lack of well-capitalized distributor partners capable of stocking high-ticket ENIAC inventory.
- The Top 3 most popular tech categories DESC
    - computers_accessories (6529 delivered incl. 425 delays = 6.5%)
    - telephony (4093 delivered incl. 1295 delays = 7.2%)
    - electronics (2517 delivered incl. 197 delays = 7.8%)
- Computers, fixed_telephony & PC gamer have low freight to price ratio (lower than 10%) but things like computer accessories have much higher ratio so freight cost could lead to lower purchase rates

Fulfillment of Service Level Agreements & Geographic Logistics Volatility

- **Baseline Completion Rate:** 97% of total orders (96.5K) are successfully delivered.
- **Transit Velocity:** The national delivery average is **13 days** (8–10 days within São Paulo and the Southeast; surging up to **27 days** in the Northern and Northeastern territories).
- **ETA Buffering:** Magist sets a conservative average estimated delivery window of **25 days**.
- **Interstate SLA Exposure:** Cross-state (interstate) deliveries take an average of **15 days**, whereas same-state (intrastate) shipments take **9 days**.
- **The Delay Multiplier:** 7% of delivered tech orders exceed the 25-day delivery window. When delays occur, orders arrive an additional **10 days late on average**, stretching total customer fulfillment times into **5 to 6 weeks**.
- **Category-Specific Delivery Bottlenecks:**
    - **Highest Delay Rate:** The *Audio* category records the highest delay frequency across tech products at **11.8%** (41 out of 348 delivered orders delayed).
    - **Longest Delay Duration:** The *Computers* category exhibits the highest average number of days late per delayed order (highest avg_days_late)
- **Root-Cause Delay Correlations:**
    - **Package Weight:** Heavier parcels correlate directly with longer carrier handling and transit durations.
    - **Seller Dispatch Latency:** Delays at the vendor level before handing the package to the courier significantly compound total fulfillment lead times.
    - **Geographic Distance:** Shipments traveling into remote interior or Northern regions suffer from high transit volatility.
    - **Customer Sentiment Impact:** Delivery delays are the primary driver of negative feedback, dragging review scores down from **4.13 stars** on time to **2.58 stars** when delayed, and down to **~2.0 stars** for extreme transit overruns.

Reviews

- **Review Coverage:** Over **99% of tech deliveries** have verified customer ratings.
- **The Customer Satisfaction Cliff:**
    - On-time deliveries average **4.13 stars**.
    - Delayed deliveries drop to **2.58 stars**.
    - Undelivered orders fall to **1.70 stars**.
- **Complaint Taxonomy (2,401 Analyzed Tickets):** Shipping and delivery delays represent the single largest categorized customer complaint (**26% / 613 complaints**), far outpacing wrong items (10%) and product defects (7%).

Strategic Verdict

YES (+ supporting Data)	**NO (+ supporting Data)**	**nuances/strategies**
3% revenue share in luxury goods (500+€) is normal	Those 3% translate to only 23 sales a month nationwide! (too low/high risk)	focus on mid-range/high-end accessories = 50-500€ range
	Apart from above point - Low Revenue Generation per Tech Seller Avg monthly revenue for Tech Sellers is **~150€** which is relatively low	In addition to that there's a low proportion of Tech sellers: 493 out of 3095 (**~16%**)
	among tech sales ~51% cheap products (<=50€) & ~31% mid-range accessories (51-150€) = 82% of all tech sales not in ENIAC's price margin	An Apple-aligned brand cannot sustain profitable expansion on a marketplace where consumers only shop for budget accessories (especially when logistics delays average 10+ days for high-value goods)
	Market Fit Risk: Massive difference in Avg. Order Price Eniac's Avg. Order Price: **710€** VS. Avg. Order Price for tech sellers in Magist: **~124€**	Again this reflects the contrasting customer base. Magist's customer base is accustomed to low-cost tech items so launching high-end (**700€ +**) may result in a very low purchase rate.
93% products delivered within estimated time range No. of orders delivered on time: **89805** out of a total of **96478** orders	estimated delivery of avg **25 days is far too generous** + delivery still takes too long + 7% of orders exceed estimated delivery. Magist relies on standard local postal services leading to a lack of control over shipping speed. Even after 25 days of avg estimation, there is a d**elay of 10 days** on avg.	Since Eniac sells high-end tech products, fulfillment and delivery delay risks pose a major threat to customer satisfaction and brand reputation, considering Eniac prioritizes fast delivery.Improving Magist's logistics efficiency or setting realistic delivery estimates will be necessary
	Low Tech Share in Magist,s Market share Tech sales percent is ~15% Magist caters primarily to general goods instead of high end tech products.	Eniac's focus is on High end customer tech & Apple compatible accessories so Magist,s sales volume being skewed towards cheaper & low end products doesn't support the case.
	Max. Freight Cost: 193€ Avg. Freight Cost: 19€ Min. Freight Cost: 1.72€ (Tech Products)	Cargo Security / "Gerenciamento de Risco": In Brazil, high-value electronics (> €500) transported by private road freight through certain interstate corridors require dedicated armed security escorts and specialized transit insurance due to cargo theft risks, driving shipping costs far above the standard €19

Canva Presentation

1. **Intro Slide**

2. **Magist - KPIs (max 5)** (4. bullets points)
    a. Number of customers
    b. Revenue (total and tech revenue)
    c. AVG order price

3. **Tech Sales per Price Tier** (Items sold, price categories, revenue)
    a. Grouped price categories (under vs above 500€ per item)
    b. Tech Revenue generated by these grouped tiers

4. **Regional Delivery & Delivery Analysis**
    a. Delivery times
    b. Delivery delays
    c. Delivery costs

5. **Strategic Verdict & Market Fit Risk**
    a. Return on Investment
    b. Brand reputation
    c. Customer satisfaction
    d. Recommendation + Alternative Strategy

Backup Slides

6. **Magist overall product categories vs our chosen tech categories**
7. **Price Tier Rationale**
   >1000€ ultra-premium - 208 - 1.2%
   - MacBooks, iPhone Pro Max, Gaming PCs, Professional mirrorless cameras

   > 500€ premium hardware - 357 - 2.1%
   - Standard smartphones/iPhone base models, iPads/tablets, premium noise-cancelling headphones, 4K gaming monitors, ultrabooks

   >150€ mid-range tech - 2278 - 13.2%
   - high-end audio/AirPods Pro, Apple smartwatches, thunderbolt 4/USB-C pro docks, premium mechanical keyboards & ergonomic setups, external SSDs (2-4TB)

   > 50€ standard accessories - 5426 - 31.4%
   - multi-device wireless charging stations, quality web-cams & studio mics, trackpads & specialized styluses like Apple Pencil

   <= 50€ budget essentials - 8865 - 51.3%
   - basic charging cables, phone cases, screen protector multi-packs, small adapters, mouse pads, basic earbuds, budget power banks

8. **Impact of Delivery Delays on Review Scores**
9. **Analysis of Customer Complaints (2,401 in Total)**
10. **Average Tech Seller Income (monthly)**
    a. divided by price tier
    b. overall average (~150€)
11. **Magist's Revenue Growth**
12. **Magist's Main Order Hub - Sao Paulo**

Tableau Links

Workbook 1

- Tech Units Sold Per Price Tier
- Average Delivery Days Per State (Interactive Map)
- Order Concentration
- Monthly Revenue Trends (2017-2018)

Workbook 2

- Complaint Categories
- Impact of Delivery Delays on Reviews
- Price vs Categories

Presentation Script

Slide 1
Good morning. Today, we present our feasibility assessment of whether ENIAC should enter the Brazilian e-commerce market via Magist, based on two years of transactional data.

Slide 2
Magist generated €13.6 million over two years, with technology accounting for €1.9 million, or 14%. While the platform maintains healthy traffic with around 6 to 7,000 monthly customers - the average order value is just €124. Compared to ENIAC's average order value of €710, this is not impressive.
Therefore, it is evident that the platform is established, but is built on everyday commodities rather than premium tech hardware.

Slide 3
Examining tech transactions, over 80% of units sold fall into budget essentials and standard accessories.
Looking at revenue, products under €500 generated €1.3 million, driving the platform's turnover. Devices over €500 generated just over half a million across two full years. Despite higher unit prices, high-end volume is simply too thin to justify market entry.
Magist is a cable-and-case marketplace, not a launchpad for luxury electronics.

Slide 4
Looking at fulfillment on the right, the average customer journey reveals significant friction:

1. First the customer places an order and pays €19 on average for delivery. Concerning luxury hardware, this standard shipping lacks essential insurance and secure handling.
2. After placing an order, the customer is told it will take an average of 25 days to arrive. Magist sets this three-week expectation deliberately wide to cushion courier delays.
3. Then the order arrives in 13 days on average. While arriving ahead of the broad estimate, two weeks is still far too slow for premium tech consumers.
4. Sometimes delays can occur which means that an order exceeds the already generous 25-day timeline. The delay is not just a day or two rather it takes **an additional 10 days on average**. That pushes the total delivery window toward five to six weeks.

The map on the left shows why: Brazil has an acute logistical divide.

- In the South and Southeast—anchored around São Paulo and Rio de Janeiro—logistics run relatively smoothly, with delivery times held around **9 days**.
- But moving north into the deeper red zones, delivery times surge up to **27 days**.

Nationwide fulfillment introduces unacceptable volatility for high-value hardware.

Slide 5
Synthesizing our findings against our core business pillars:

- **First, Return on Investment:** An average order value of €124 cannot support the overhead of Brazilian customs, tax compliance, and entity setup.

- **Second, Brand Reputation:** Delivery times reaching 27 days directly erode consumer trust in our premium image.
- **Third, Customer Satisfaction:** Platform reviews collapse from over 4 stars down to 1.7 to 2.6 stars during delivery delays.

We recommend a **No-Go** on launching flagship devices (> €500) via Magist.
If leadership still wishes to enter Brazil, our only viable alternative is a **phased pilot for accessories (€50 to €150)**, fulfilled exclusively within the São Paulo corridor.

Thank you, and we look forward to your questions.

Potential Questions/Defense

A 3.5% share in luxury tech is normal worldwide. Why shouldn't we enter?
While luxury represents small unit volume in every economy, absolute throughput matters. In Brazil, that 3.5% equates to fewer than **23 units sold per month across the entire country** over a 25-month window. Setting up Brazilian entity registration, customs clearance, and local returns handling to sell under one unit a day leaves our fixed operational costs completely underwater.

Can't we solve the shipping problem by enforcing private couriers (DHL / FedEx) instead of national postal shipping?
As per our analysis of geographical data over 42,000 orders are concentrated strictly in the Southeast (São Paulo). Correios is the only logistics operator with true universal coverage across all 5,500+ Brazilian municipalities. Private global carriers like DHL or FedEx offer excellent service in urban hubs like São Paulo, but for remote, Northern, and interior regions, they either charge massive surcharges that destroy our margins or quietly hand the parcel off to Correios for the final leg anyway. Relying on private couriers nationwide does not eliminate our logistics risk—it only inflates our delivery costs.

Are delivery delays really hurting the brand that badly?
Yes. Deliveries completed on time average a strong **4.1-star rating**. But the moment an order arrives after its estimated delivery date, customer satisfaction plummets to **2.6 stars**, and severe delays crash reviews to **1.7 stars**. Consumers do not penalize the delivery carrier; they leave 1-star reviews directly against the product and brand.

Can we recruit existing Magist sellers to distribute our hardware rather than doing it ourselves?
Slide 11 examines seller monthly income on the platform. The average seller generates between €100 and €300 in monthly revenue. There are virtually no capitalized enterprise distributors on Magist with the working capital required to purchase, hold, and insure €100,000+ in high-end ENIAC inventory.

Rationale of Price Tiers
€50 cap: Anything below €50 lacks active processors, licensed controllers, or high-speed data buses. It is the ceiling for single-function, passive accessories.

€150 cap: This is the upper limit for *dependent accessories*—products that require a host device to function but carry active logic.
€500 cap: High-end peripherals reach their technical feature saturation around €500. Above this, the product ceases to be an accessory and becomes the host machine.
€1,000 cap: Standard consumer hardware hits a margin/cost wall around €1,000. Above €1,000, components shift from consumer-grade to high-yield silicon and specialized tooling.
€1,000+ tier: It separates everyday consumer computing from equipment explicitly built for professional productivity, zero-compromise workloads, and commercial workflows.

Research on Brazil

Political Situation Brazil Sep 2018

Key events in the Brazilian market in September 2018:

- **Presidential elections** happening soon. A lot of political and economical uncertainty as two different presidential candidates led the polls.
- **Bolsonaro Assassination Attempt:** Candidate Jair Bolsonaro was stabbed on September 6; this brought uncertainty into the market due the possibility of loosing his pro-market - reformist approach (market deregulation, fiscal austerity, and privatisations). Once he started to recover, the market was boosted back with huge investments (late September).
- **High Stock Market Volatility:** Equities experienced sharp swings ahead of the October presidential election, turning positive late in the month as political clarity emerged.
- **Foreign Capital Surge:** Optimistic international investors poured **2.14 billion reais ($524 million)** into Brazilian stocks in just one week at the end of September.
- **Weak Domestic Economy:** The broader economy struggled following a major truckers' strike, causing **retail sales to shrink by 1.3%**, though strong agriculture kept a trade surplus.
- **Venture Capital Boom:** Despite political chaos, Brazil's tech ecosystem thrived later on, highlighted by the bike-sharing startup **Yellow raising $63 million** in a historic VC wave.

Summary

Around September 2018, the **Brazilian financial market experienced extreme volatility, driven mainly by political risk and economic uncertainty** ahead of the October 2018 presidential elections.
The key events that marked the market during this period were the following:
The attack against Jair Bolsonaro
On September 6, 2018, Jair Bolsonaro, the leading presidential candidate in the polls**, was stabbed and seriously injured** during a political rally. This incident injected enormous uncertainty into the electoral process. However, as subsequent polls showed his popularity rising, the market began to anticipate a greater likelihood of his victory. Since his economic platform promised fiscal austerity, privatizations, and deregulation, the markets reacted positively to his progress.
Market fluctuations and foreign capital inflows
Before September, a sell-off in global emerging markets and local political gridlock had severely impacted the Brazilian stock market. However, by the end of September, as the election campaign entered its final stretch and greater clarity emerged, foreign investors became more optimistic. International investors poured **2.14 billion reais (about US$524 million)** into Brazilian stocks in just one week toward the end of the month.
A weakened macroeconomic environment
While financial and stock markets fluctuated sharply due to election polls, Brazil's real economy struggled to recover from a devastating national truckers' strike months earlier.

- **Retail sales:** The consumer market showed weakness, with **retail sales contracting by 1.3%** in September 2018 compared to the previous month.
- **Trade balance:** In contrast, the agricultural sector remained very competitive, allowing Brazil to record a **trade surplus of $7.74 billion** in September.

Microeconomic milestones (Venture capital and innovation)

Despite macroeconomic and political headwinds, September 2018 was a landmark month for Brazil's tech ecosystem. The local market witnessed a surge in tech investments, highlighted by the Brazilian bike-sharing startup **Yellow, which raised $63 million**, forming part of a record wave of venture capital funding in Latin America at the time.

National Trends in Tech Market Demands

Macro Tech vs. Personalized Tech **(2017–2018)**

- **Macro-Level Growth Spike:** Brazil's comprehensive Information Technology (IT) market brought in a massive **$38 billion in revenue in 2017**, achieving a 4.5% annual growth rate that made it the 9th largest IT market globally.
- **Corporate Tech Drivers:** Enterprise tech spending focused aggressively on business survival, driving high macro-level demand for **cloud computing adoption and corporate digital transformation** to reduce localized operational costs.
- **The Post-Crisis PC Rebound:** Low-scale personalized computer demand roared back in 2017, posting a massive **15% year-over-year surge in PC sales** as retail consumers and companies upgraded aging machines.
- **Shift to Portability:** On a personalized level, retail buyers overwhelmingly chose laptops over stationary desktops, establishing a demand ratio where **nearly 65% of all consumer personal computers sold were notebooks**.
- **Smartphone Proliferation:** In telephony, Brazil solidified its position as the **5th largest smartphone nation in the world** with roughly 76 million active smartphone users, rapidly shifting online retail traffic toward mobile commerce.
- **Dominance of Locally Assembled Brands:** Due to heavy protective import tariffs on personal tech, the market heavily favored global brands with local manufacturing infrastructure; **Samsung dominated the smartphone sector** with over 42% market share by volume.

2017 National Demand, Revenue & Prices for Personal Tech

In **2017**, Brazil's low-scale, personalized consumer hardware market recovered from the preceding economic recession, posting clear numbers compiled by tracking agencies like IDC Brazil:

Personal Computers (PCs & Laptops)

- **National Revenue:** The total market revenue for personal computers reached roughly **9.6 billion reais ($2.9 billion USD)**.
- **Volume Sold:** Approximately **4.5 million total PC units** were sold nationwide.
- **Average Demand Ranges / Configurations:** Demand was heavily split between two main buckets. Mid-range consumer laptops sat in the **2,000 to 3,000 reais (**600–**800 USD)** price range. High-end configurations (premium ultra-thins and custom gaming

desktops) routinely ranged from **4,500 to over 8,000 reais** due to components like dedicated graphics cards carrying steep custom tariffs.

Telephony (Smartphones)

- **National Market Size:** Mobile phones functioned as the primary internet gateway for the majority of the population. The market recorded roughly **45 million to 50 million smartphone units shipped** over the course of the year.
- **Average Demand Ranges / Prices:**
    - *Low-to-Mid Range (Highest Volume):* The bulk of consumer demand fell within the **800 to 1,500 reais (**$250–$**450 USD)** range, led by locally assembled models like the Samsung Galaxy J-series and Motorola Moto G-series.
    - High-End / Premium Tier: Top-of-the-line personal hardware, such as the newly released Apple iPhone X, faced average localized pricing that soared past 5,000 to 7,000 reais ($1,500+ USD)—nearly double the global average retail price due to Brazil's unique tax structures.

Delivery Services in Brazil

In Brazil, Correios is the only operator with a universal postal mandate legally obligated to cover every single zip code, municipality, and remote river community in the country.
Private logistics providers and global express carriers (such as DHL Express, FedEx, UPS, Jadlog, Loggi, and Total Express) operate under a very different commercial model:

High Concentration on the "Golden Triangle" & Major Metros

- Urban Focus: Private carriers focus their primary owned fleet, automated sorting hubs, and express delivery routes heavily within the South and Southeast (São Paulo, Rio de Janeiro, Belo Horizonte, Curitiba, Porto Alegre) and key state capitals.
- Why: This region represents over 70% of Brazil’s total e-commerce spending, has modern highway infrastructure, and allows profitable same-day or next-day delivery.

How Global / Private Carriers Handle the Rest of Brazil ("Last-Mile Handoff")
When an international courier or private carrier claims to offer "nationwide delivery" across Brazil

- Capital Cities & Regional Hubs: They fly cargo into regional hubs (e.g., Recife, Salvador, Manaus, Brasília) and handle the last-mile delivery themselves within the urban center.
- Interior, North, & Remote Areas (The Long Tail): For smaller towns in the interior or remote areas across the North and Northeast, private couriers subcontract the last mile to Correios.
- The courier moves the freight by air to a regional hub, hands it over to Correios, and the national postal service completes the final delivery to the customer’s doorstep.

The Cost & Operational Consequence for ENIAC

- Private Couriers are Prohibitively Expensive Outside Urban Hubs: While sending a parcel via DHL or FedEx within São Paulo is fast and competitive, sending high-value electronics into the North or Central-West via private carriers incurs extreme

surcharges (e.g., remote area surcharges, regional security/escort fees, and air cargo rates).

- Cargo Security / "Gerenciamento de Risco": In Brazil, high-value electronics (> €500) transported by private road freight through certain interstate corridors require dedicated armed security escorts and specialized transit insurance due to cargo theft risks, driving shipping costs far above the standard €19 platform average.